

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

WEDNESDAY, MARCH 19, 2025 ~ VOL. CCLXXXV NO. 64

WSJ.com

★★★★ \$5.00

DJIA 41581.31 ▼260.32 0.62% NASDAQ 17504.12 ▼1.7% STOXX 600 554.30 ▲0.6% 10-YR. TREAS. ▲6/32, yield 4.280% OIL \$66.90 ▼\$0.68 GOLD \$3,035.10 ▲\$35.10 EURO \$1.0946 YEN 149.28

What's News

Business & Finance

◆ **The world will need 100 times more computing power for advanced AI than it considered necessary a year ago,** Nvidia Chief Executive Jensen Huang told a conference at which he unveiled a new, more-powerful line of the company's chips. **B1**

◆ **A tech selloff and renewed violence in the Middle East drove U.S. stocks lower,** with the S&P 500, Nasdaq and Dow falling 1.1%, 1.7% and 0.6%, respectively. **B11**

◆ **U.S. housing starts** climbed more than expected in February, though that strength could be threatened by tariffs and inflation in coming months. **A2**

◆ **Nasdaq said it would open a regional headquarters in Dallas to serve Texas and the Southeast and house part of its technology and financial-crime management businesses.** **B1**

◆ **Siemens said it would cut more than 6,000 jobs in its automation and electric-vehicle-charging businesses to boost competitiveness.** **B3**

◆ **Business-software startup Rippling** accused one of its employees, later identified in a legal filing in Ireland, of stealing trade secrets for its rival, Deel. **B3**

◆ **Chinese electronics maker Xiaomi** said its net profit nearly doubled in the fourth quarter on record revenue as all of its business segments performed well. **B4**

◆ **BYD's shares rose** in Hong Kong and Shenzhen after the Chinese electric-vehicle company unveiled new fast-charging technology and announced an employee share-incentive plan. **B4**

World-Wide

◆ **Russia's Putin agreed** to a limited cease-fire against Ukraine's energy infrastructure during a phone call with Trump, but resisted a longer-lasting peace plan pushed by the president since his election. **A1**

◆ **Israeli strikes targeting Hamas** across the Gaza Strip killed more than 400 people, Palestinian authorities said, and marked what Israel's prime minister said was "just the beginning" of hostilities to come. **A1, A7**

◆ **The Trump administration** released thousands of previously classified or censored documents relating to the death of former President John F. Kennedy. **A3**

◆ **Chief Justice Roberts** decried calls from Trump and his supporters to impeach judges who have ruled against the administration, saying the courts should resolve disputes through traditional channels. **A3**

◆ **A judge ruled that** DOGE's dismantling of USAID was likely unconstitutional on multiple fronts, including the role Elon Musk played in orchestrating it. **A5**

◆ **A federal judge** blocked the Pentagon from implementing Trump's executive order that excludes transgender people from serving openly in the military. **A5**

◆ **HHS is weighing** plans to drastically cut the federal government's funding for domestic HIV prevention. **A5**

◆ **Trump fired** the FTC's two Democratic commissioners, the latest moves in his campaign to exert more control over independent government agencies. **A5**

CONTENTS	Opinion.....	A13-15
Arts in Review.....	A11	Personal Journal A9-10
Business & Finance B25	Property Report....	B6
Business News B3,12	Sports.....	A12
Crossword.....	Technology.....	B4
Heard on Street...B12	U.S. News.....	A2-6
Markets.....	World News....	A6-8,16



© 2025 Dow Jones & Company, Inc. All Rights Reserved

Israel Threatens More Strikes

Attacks in Gaza killed more than 400, are 'just the beginning,' Israeli leader says

The Israeli strikes targeting Hamas across the Gaza Strip on Tuesday killed more than 400 people, Palestinian au-

By *Feliz Solomon, Abeer Ayyoub and Carrie Keller-Lynn*

thorities said, ending a truce in place since January and marking what Prime Minister Benjamin Netanyahu threat-

ened is "just the beginning" of the hostilities to come.

Netanyahu ordered the attacks after Hamas failed to release the remaining hostages held in the enclave or accept U.S. proposals for extending the fragile cease-fire, his office said.

Gaza health authorities said 404 people were killed in the attacks, without specifying how many were combatants, making it one of the largest single-day death tolls since the war began in October 2023.

The strikes were aimed at what Israel said were dozens of targets among Hamas's leadership, midrank military commanders and infrastructure. Is-

rael said the effort would continue and would expand beyond airstrikes, threatening a return to full-scale war.

"From now on, Israel will act against Hamas with increasing force," Netanyahu said in televised remarks Tuesday night. "And from now on, negotiations will only take place under fire." He added, "This is just the beginning."

The Israeli military also issued evacuation orders covering a number of population centers in the enclave, particularly the northern city of Beit Hanoun and several neighborhoods of Khan Younis in the south.

An Israeli official said Pres-

ident Trump gave Israel the green light to restart attacks after the U.S.-designated terrorist group failed to give up hostages. Israel then gave the U.S. a heads-up before starting the operation, the official said.

White House press secretary Karoline Leavitt confirmed on Fox News that Israel had given advance notice of the attacks. She warned Hamas and other regional enemies of Israel and the U.S. "will see a price to pay."

Trump has pressed for the

Please turn to page A7

◆ **Israeli public support of Gaza war wanes.....** **A7**

After Nine Months, Astronauts Return Home



NASA/REUTERS (2)



WELCOME BACK: Butch Wilmore and Suni Williams were helped out of the SpaceX capsule Tuesday upon returning to Earth after their lengthy stay on the International Space Station. For video of the splashdown, scan the code with the article on **A3**.

Trade War, Politics Bedevil Fed Chair

By **NICK TIMIRAOS**

Not long ago, it looked like Jerome Powell's final test as Federal Reserve chair would be to stick the soft landing. Now, with about one year left in his term, he faces a serious complication: navigating a trade war that threatens to push prices up while weakening the economy.

During a seven-year tenure that included President Trump's first trade war, a pandemic, historic inflation and high-profile bank failures,

Powell's final act also unfolds with an imperative to preserve the institution's apolitical DNA that protects its autonomy in setting interest rates.

Fed policymakers are alternately referred to as inflation-fighting "hawks" or labor-market-defending "doves." Right now, Powell looks more like a duck—calm on the surface while constantly paddling beneath murky waters.

Inflation fell over the past two years as supply-chain bottlenecks eased and workforce participation rose. Now, tail-

winds are becoming potential headwinds. Falling immigration and cuts to federal contracts risk hitting labor supply and demand. Dramatically raising tariffs could create an uncomfortable combination of weaker or even stagnant growth and higher prices.

Powell's 18 colleagues who participate in monetary-policy meetings have shifted their outlook. A few doves have become hawks, and vice versa. At least one has an eye on possibly succeeding Powell next year.

The Fed cut interest rates by 1 percentage point last year after lifting them to a two-decade high to combat higher prices. Inflation declined to around 2.5% in January from a recent peak of 7.2% in 2022. Officials are set to hold rates steady at their meeting this week.

Ahead of the latest trade-related swoon, acquaintances have tried to congratulate Pow-

Please turn to page A2

◆ **Officials fine-tune reciprocal tariffs plan.....** **A2**

IRS Opts To Retreat On Audits As Staff Gets Cut

By **RICHARD RUBIN AND ASHLEA EBELING**

The Trump administration's rapid shrinking of the Internal Revenue Service is ending some large audits and putting others in limbo. That is the early fallout of a retreat from stepped-up tax enforcement that could dent compliance and cost the government tens of billions of dollars in revenue.

Treasury Secretary Scott Bessent hasn't detailed his plans for the IRS, its employees and operations. But a new direction is clear. Tough talk about pursuing tax dodging by corporations and high-income households is gone, and the administration is leaning more on technology for taxpayer service and enforcement.

That would reverse the recent IRS push to put more peo-

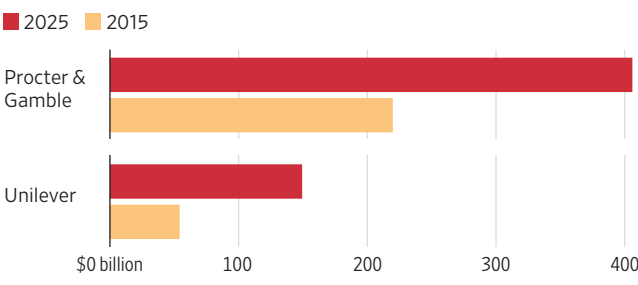
Please turn to page A4

◆ **Judge deals blow to DOGE dismantling of USAID.....** **A5**

P&G Takes Lead Over Unilever

Procter & Gamble and Unilever have been rivals for nearly a century. Now, P&G, after lagging behind in the early 2010s, has overtaken Unilever by doubling down on its biggest brands. **B1**

Procter & Gamble vs. Unilever market value



Note: Figures are as of March 11 of each year. Unilever dollar amounts were converted from British pounds. Source: FactSet

'Organized Hitchhiking' in D.C. Is Back—No Political Talk Allowed

Federal return-to-work mandates clog roads, helping revive a carpooling tradition

By **CORRIE DRIEBUSCH**

WOODBIDGE, Va.—At 6:47 a.m. on a recent Wednesday, the Horner Road Commuter Lot started filling with workers in suits, military uniform and fleece quarter-zips. In the still-dark, they formed an orderly queue in Lot 8.

A car pulled up, the driver rolled down his window and,

after a brief exchange, two commuters hopped in for the 30-minute drive to the Pentagon, zooming past gridlock traffic.

"Slugging," a Washington, D.C., tradition, is back.

These slugs aren't of the mollusk variety. They're commuters looking to bypass the capital's notorious traffic and

Please turn to page A10

Morgan Stanley Went Big on DEI. No One's Happy.

Black and white staff say efforts, now being softened, added to divisive culture

By **ANNA MARIA ANDRIOTIS AND LAUREN WEBER**

Across America, corporate diversity initiatives are in the crosshairs of legal activists and a Trump administration set on wiping them out. At Morgan Stanley, the backlash bubbled up from within.

After George Floyd's murder in 2020, the bank's then-CEO James Gorman called out "unresolved racial injustice" in society and vowed Morgan Stanley would be part of the solution. The bank created an Institute for Inclusion with external advisers and pledged to boost the share of racial minorities in executive ranks, where it trailed rivals.

Today, the bank faces discrimination accusations and lawsuits from both white and Black workers and criticism from staff who say the efforts either fell short or were unduly heavy-handed. Several

Putin Agrees To Partial Cease-Fire In Ukraine

Russian leader tells Trump he will pause attacks on energy infrastructure

WASHINGTON—President Vladimir Putin of Russia agreed to a limited cease-fire against Ukraine's energy infrastructure during a phone call with President Trump on Tuesday, but remained resistant to a longer-lasting peace plan pushed by the U.S. president since his election.

By *Alan Cullison, Alexander Ward and Alexander Osipovich*

The cease-fire is the first tangible concession from Russia won by Trump in his campaign for a peace deal, in which he has mainly pressured Kyiv for concessions. For the Kremlin, Trump has dangled the enticement of improved relations and an end to its international isolation.

"We agreed to an immediate Ceasefire on all Energy and Infrastructure, with an understanding that we will be working quickly to have a Complete Ceasefire and, ultimately, an END to this very horrible War between Russia and Ukraine," Trump posted Tuesday to social media. "We will, hopefully, for the sake of Humanity, get the job done!"

The Kremlin said in a statement that Trump presented a proposal for Ukraine and Russia to cease strikes on energy

Please turn to page A6

INSIDE



JIM ALTEGEN/AP

U.S. NEWS

Thousands of pages of previously classified or censored files on JFK's death are released. **A3**